

Alpha Financial Markets Consulting Group Limited

Annual report and financial statements

Registered number 07160664

31 March 2019

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Company Information

Directors	ENB Fraser NB Baker (Resigned 29 March 2019) NS Curham B Lantorp JC Paton (Appointed 13 December 2018)
Company number	07160664
Registered office	60 Gresham Street London EC2V 7BB
Auditor	KPMG LLP St Nicholas House Park Row Nottingham NG1 6FQ
Bankers	HSBC Bank UK 71 Queen Victoria Street London EC4V 4AY

Directors' report

The Directors present their report and the audited financial statements for the year ended 31 March 2019.

Principal activities

The principal activity of the Company is that of a holding company.

Results and dividend

The results for the year are set out in the attached profit and loss account.

Two interim dividend payments totalling £24,568,000 were made to the Company's sole shareholder, Alpha FMC Group Limited (2018: £nil), both to facilitate the payments of the FY 19 Group dividends made by the Company's ultimate parent, Alpha Financial Markets Consulting plc, to its shareholders. This dividend was facilitated in part by the receipt in the year of dividends totalling £18,265,000 from the Company's directly owned subsidiary, Alpha Financial Markets Consulting UK Limited. The Directors have not recommended the payment of a final dividend (2018: £16,475,000).

Directors

The Directors who held office during the year were as follows:

ENB Fraser

NB Baker (Resigned 29 March 2019)

NS Curham

B Lantorp

JC Paton (Appointed 13 December 2018)

Political contributions

The Company made no political donations or incurred any political expenditure during the year.

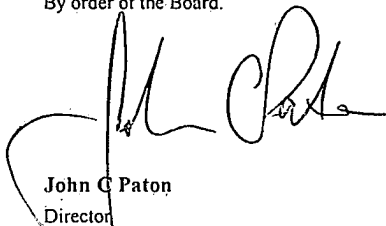
Disclosure of information to auditor

The Directors who held office at the date of approval of this Directors' report confirm that, so far as they are each aware, there is no relevant audit information of which the Company's auditor is unaware; and each Director has taken all the steps that they ought to have taken as a Director to make themselves aware of any relevant audit information and to establish that the Company's auditor is aware of that information.

Auditor

Pursuant to Section 487 of the Companies Act 2006, the auditor will be deemed to be reappointed and KPMG LLP will therefore continue in office.

By order of the Board.



John C Paton
Director

60 Gresham Street
London EC2V 7BB

18 December 2019

Statement of directors' responsibilities in respect of the strategic report and the Directors' report and the financial statements

The Directors are responsible for preparing the strategic report and the Directors' Report and the financial statements in accordance with applicable law and regulations.

Company law requires the Directors to prepare financial statements for each financial year. Under that law they have elected to prepare the financial statements in accordance with UK accounting standards and applicable law (UK Generally Accepted Accounting Practice), including FRS 101 Reduced Disclosure Framework.

Under Company law the Directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period. In preparing these financial statements, the Directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable UK accounting standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- assess the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and
- use the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations or have no realistic alternative but to do so.

The Directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error, and have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the Company and to prevent and detect fraud and other irregularities.

Independent auditor's report to the members of Alpha Financial Markets Consulting Group Limited

Opinion

We have audited the financial statements of Alpha Financial Markets Consulting Group ("the Company") for the year ended 31 March 2019 which comprise the profit and loss account, balance sheet and statement of changes in equity and related notes, including the accounting policies in note 1.

In our opinion the financial statements:

- give a true and fair view of the state of the company's affairs as at 31 March 2019 and of its profit for the year then ended;
- have been properly prepared in accordance with UK accounting standards, including FRS 101 Reduced Disclosure Framework; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

described below. We have fulfilled our ethical responsibilities under, and are independent of the company in accordance with, UK ethical requirements including the FRC Ethical Standard. We believe that the audit evidence we have obtained is a sufficient and appropriate basis for our opinion.

Brexit other matter paragraph

Uncertainties related to the effects of Brexit are relevant to understanding our audit of the financial statements. All audits assess and challenge the reasonableness of estimates made by the Directors, such as recoverability of investments and related disclosures and the appropriateness of the going concern basis of preparation of the financial statements. All of these depend on assessments of the future economic environment and the Company's future prospects and performance.

Brexit is one of the most significant economic events for the UK, and at the date of this report its effects are subject to unprecedented levels of uncertainty of outcomes, with the full range of possible effects unknown. We applied a standardised firm-wide approach in response to that uncertainty when assessing the Company's future prospects and performance. However, no audit should be expected to predict the unknowable factors or all possible future implications for a company and this is particularly the case in relation to Brexit.

Going concern

The Directors have prepared the financial statements on the going concern basis as they do not intend to liquidate the Company or to cease its operations, and as they have concluded that the Company's financial position means that this is realistic. They have also concluded that there are no material uncertainties that could have cast significant doubt over its ability to continue as a going concern for at least a year from the date of approval of the financial statements ("the going concern period").

We are required to report to you if we have concluded that the use of the going concern basis of accounting is inappropriate or there is an undisclosed material uncertainty that may cast significant doubt over the use of that basis for a period of at least a year from the date of approval of the financial statements. In our evaluation of the Directors' conclusions, we considered the inherent risks to the Company's business model, including the impact of Brexit, and analysed how those risks might affect the Company's financial resources or ability to continue operations over the going concern period. We have nothing to report in these respects.

However, as we cannot predict all future events or conditions and as subsequent events may result in outcomes that are inconsistent with judgements that were reasonable at the time they were made, the absence of reference to a material uncertainty in this auditor's report is not a guarantee that the Company will continue in operation.

Strategic report and Directors' report

The Directors are responsible for the strategic report and the Directors' report. Our opinion on the financial statements does not cover those reports and we do not express an audit opinion thereon.

Our responsibility is to read the strategic report and the Directors' report and, in doing so, consider whether, based on our financial statements audit work, the information therein is materially misstated or inconsistent with the financial statements or our audit knowledge. Based solely on that work:

- we have not identified material misstatements in the strategic report and the Directors' report;
- in our opinion the information given in those reports for the financial year is consistent with the financial statements; and
- in our opinion those reports have been prepared in accordance with the Companies Act 2006.

Matters on which we are required to report by exception

Under the Companies Act 2006 we are required to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- the Directors were not entitled to take advantage of the small companies exemption from the requirement to prepare a strategic report.

We have nothing to report in these respects.

Independent auditor's report to the members of Alpha Financial Markets Consulting Group Limited (continued)

Directors' responsibilities

As explained more fully in their statement set out on page 3, the Directors are responsible for: the preparation of the financial statements and for being satisfied that they give a true and fair view; such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and using the going concern basis of accounting unless they either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

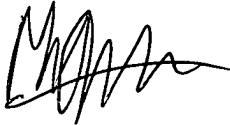
Auditor's responsibilities

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue our opinion in an auditor's report. Reasonable assurance is a high level of assurance, but does not guarantee that an audit conducted in accordance with ISAs UK will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.

A fuller description of our responsibilities is provided on the FRC's website at www.frc.org.uk/auditorsresponsibilities.

The purpose of our audit work and to whom we owe our responsibilities

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members, as a body, for our audit work, for this report, or for the opinions we have formed.



23 December 2019

Mark Flanagan (Senior Statutory Auditor) ;
for and on behalf of KPMG LLP, Statutory Auditor
Chartered Accountants
St Nicholas House
31 Park Row
Nottingham
NG1 6FQ

Profit & loss account
for the year ended 31 March 2019

	Note	2019 £000	2018 £000
Administrative expenses	2	(298)	(305)
Operating profit		(298)	(305)
Interest payable and similar expenses		(22)	-
Income from shares in Group undertakings		18,265	-
Profit before taxation		17,945	(305)
Taxation	5	-	-
Profit for the financial year		17,945	(305)

In both the current and preceding year, the Company made no material acquisitions and had no discontinued operations.

There were no recognised gains or losses in either the current or preceding year other than those disclosed in the profit and loss account, and therefore no separate statement of other comprehensive income has been presented.

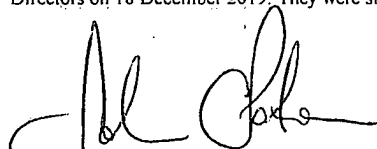
The notes on pages 9-19 form part of these financial statements.

Balance sheet

At 31 March 2019

	Note	Year ended 31 March 2019		Year ended 31 March 2018	
		£000	£000	£000	£000
Non-current assets					
Goodwill	6		784		784
Investments	7		14,219		14,219
			<u>15,003</u>		<u>15,003</u>
Current assets					
Debtors	8	16,463		7,740	
Cash at bank and in hand		146		138	
		<u>16,609</u>		<u>7,878</u>	
Current liabilities					
Creditors: amounts falling due within one year	9	(22,213)		(6,877)	
			<u>(5,604)</u>		<u>1,001</u>
Net current assets/(liabilities)					
			<u>9,399</u>		<u>16,004</u>
Total assets less current liabilities					
Non-current liabilities					
Creditors: amounts falling due after one year	10		(234)		(277)
			<u>9,165</u>		<u>15,727</u>
Net assets					
			<u>9,165</u>		<u>15,727</u>
Capital and reserves					
Called up share capital	11	6,051		6,051	
Share premium account	11	1,437		1,437	
Capital contributions reserve		72		72	
Other reserves		137		76	
Profit and loss account		1,468		8,091	
			<u>9,165</u>		<u>15,727</u>
Shareholders' funds					
			<u>9,165</u>		<u>15,727</u>

The notes on pages 9-19 form part of these financial statements. These financial statements were approved and authorised for issue by the Board of Directors on 18 December 2019. They were signed on its behalf by:



John C Paton
Director

Company registered number: 07160664.

Statement of changes in equity

	Called up share capital £000	Share premium account £000	Capital contributions reserve £000	Other reserves £000	Profit and loss account £000	Total Equity £000
As at 1 April 2018	6,051	1,437	72	76	8,091	15,727
Total comprehensive income for the period						
Total comprehensive income for the period	-	-	-	-	17,945	17,945
Transactions with owners						
Dividends	-	-	-	-	(24,568)	(24,568)
Consideration to be paid in equity	-	-	-	61	-	61
Balance at 31 March 2019	6,051	1,437	72	137	1,468	9,165

The notes on pages 9-19 form part of these financial statements.

Notes

(forming part of the financial statements)

1 Accounting policies

Alpha Financial Markets Consulting Group Limited (the "Company") is a Company limited by shares, domiciled and registered in the UK. The registered number is 07160664 and the registered address is 60 Gresham Street, London, EC2V 7BB.

These financial statements were prepared in accordance with Financial Reporting Standard 101 Reduced Disclosure Framework ("FRS 101").

The Company is exempt by virtue of Section 400 of the Companies Act 2006 from the requirement to prepare Group financial statements. These financial statements present information about the Company as an individual and not about its Group.

In preparing these financial statements, the Company applies the recognition, measurement and disclosure requirements of International Financial Reporting Standards as adopted by the EU ("Adopted IFRSs"), but makes amendments where necessary in order to comply with Companies Act 2006 and has set out below where advantage of the FRS 101 disclosure exemptions has been taken.

The Company's parent undertaking, Alpha Financial Markets Consulting plc (formerly Alpha FMC Topco Limited), includes the Company in its consolidated financial statements. The consolidated financial statements of Alpha Financial Markets Consulting plc are available to the public and may be obtained from 60 Gresham Street, London, EC2V 7BB, or the website www.investors.alphafmc.com.

In these financial statements, the Company has applied the exemptions available under FRS 101 in respect of the following disclosures:

- a Cash Flow Statement and related notes;
- comparative period reconciliations for share capital, tangible fixed assets, intangible assets and investment properties;
- disclosures in respect of transactions with wholly owned subsidiaries;
- disclosures in respect of capital management;
- the effects of new but not yet effective IFRSs;
- disclosures in respect of the compensation of Key Management Personnel; and
- disclosures of transactions with a management entity that provides key management personnel services to the Company.

As the consolidated financial statements of Alpha Financial Markets Consulting plc include the equivalent disclosures, the Company has also taken the exemptions under FRS 101 available in respect of the following disclosures:

- IFRS 2 Share Based Payments in respect of group settled share based payments; and
- Certain disclosures required by IFRS 3 Business Combinations in respect of business combinations undertaken by the Company.

The accounting policies set out below have, unless otherwise stated, been applied consistently to all periods presented in these financial statements.

There are no judgements made by the Directors, in the application of these accounting policies that have significant effect on the financial statements and estimates with a significant risk of material adjustment in the next year.

1.1 Measurement convention

The financial statements are prepared on the historical cost basis.

1.2 Going concern

Notwithstanding net current liabilities of £5,604,000 as at 31 March 2019 and a profit for the year then ended of £17,945,000 the financial statements have been prepared on a going concern basis which the Directors consider to be appropriate for the following reasons.

The Directors have prepared cash flow forecasts for a period of 12 months from the date of approval of these financial statements which indicate that, taking account of reasonably possible downsides, the Company will have sufficient funds to meet its liabilities as they fall due for that period.

Those forecasts are dependent on the Company's ultimate parent company, Alpha Financial Markets Consulting plc not seeking repayment of the amounts currently due to the Group, which at 31 March 2019 amounted to £21,978,000. The Group has indicated that it does not intend to seek repayment of these amounts for the period covered by the forecasts. As with any Company placing reliance on other group entities for financial support, the Directors acknowledge that there can be no certainty that this support will continue although, at the date of approval of these financial statements, they have no reason to believe that it will not do so.

Consequently, the Directors are confident that the Company will have sufficient funds to continue to meet its liabilities as they fall due for at least 12 months from the date of approval of the financial statements and therefore have prepared the financial statements on a going concern basis.

Notes (continued)

1 Accounting policies (continued)

1.3 Foreign currency

Transactions in foreign currencies are translated to the Company's functional currencies at the foreign exchange rate ruling at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies at the balance sheet date are retranslated to the functional currency at the foreign exchange rate ruling at that date. Non-monetary assets and liabilities that are measured in terms of historical cost in a foreign currency are translated using the exchange rate at the date of the transaction. Non-monetary assets and liabilities denominated in foreign currencies that are stated at fair value are retranslated to the functional currency at foreign exchange rates ruling at the dates the fair value was determined. Foreign exchange differences arising on translation are recognised in the profit and loss.

1.4 Classification of financial instruments issued by the Company

Following the adoption of IAS 32, financial instruments issued by the Company are treated as equity only to the extent that they meet the following two conditions:

- (a) they include no contractual obligations upon the Company to deliver cash or other financial assets or to exchange financial assets or financial liabilities with another party under conditions that are potentially unfavourable to the Company; and
- (b) where the instrument will or may be settled in the Company's own equity instruments, it is either a non-derivative that includes no obligation to deliver a variable number of the Company's own equity instruments or is a derivative that will be settled by the Company's exchanging a fixed amount of cash or other financial assets for a fixed number of its own equity instruments.

To the extent that this definition is not met, the proceeds of issue are classified as a financial liability. Where the instrument so classified takes the legal form of the Company's own shares, the amounts presented in these financial statements for called up share capital and share premium account exclude amounts in relation to those shares.

1.5 Non-derivative financial instruments

Non-derivative financial instruments relevant to the Company comprise of investments in subsidiaries, trade and other debtors, loans and borrowings, and trade and other creditors.

Trade and other debtors

Trade and other debtors are recognised initially at fair value. Subsequent to initial recognition they are measured at amortised cost using the effective interest method, less any impairment losses.

Trade and other creditors

Trade and other creditors are recognised initially at fair value. Subsequent to initial recognition they are measured at amortised cost using the effective interest method.

Investments in subsidiaries

Investments in subsidiaries are carried at cost less impairment.

Interest-bearing borrowings

Interest-bearing borrowings are recognised initially at fair value less attributable transaction costs. Subsequent to initial recognition, interest-bearing borrowings are stated at amortised cost using the effective interest method, less any impairment losses.

Notes (continued)

1 Accounting policies (continued)

1.6 Impairment

Financial assets (including trade and other debtors)

A financial asset not carried at fair value through profit or loss is assessed at each reporting date to determine whether there is objective evidence that it is impaired. A financial asset is impaired if objective evidence indicates that a loss event has occurred after the initial recognition of the asset, and that the loss event had a negative effect on the estimated future cash flows of that asset that can be estimated reliably.

An impairment loss in respect of a financial asset measured at amortised cost is calculated as the difference between its carrying amount and the present value of the estimated future cash flows discounted at the asset's original effective interest rate. For financial instruments measured at cost less impairment an impairment is calculated as the difference between its carrying amount and the best estimate of the amount that the Company would receive for the asset if it were to be sold at the reporting date. Interest on the impaired asset continues to be recognised through the unwinding of the discount. When a subsequent event causes the amount of impairment loss to decrease, the decrease in impairment loss is reversed through profit or loss.

Non-financial assets

The carrying amounts of the Company's non-financial assets are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. For goodwill, and intangible assets that have indefinite useful lives or that are not yet available for use, the recoverable amount is estimated each year at the same time.

The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For the purpose of impairment testing, assets that cannot be tested individually are Grouped together into the smallest Group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets or Groups of assets (the "cash-generating unit").

The goodwill acquired in a business combination, for the purpose of impairment testing, is allocated to cash-generating units, or ("CGU"). Subject to an operating segment ceiling test, for the purposes of goodwill impairment testing, CGUs to which goodwill has been allocated are aggregated so that the level at which impairment is tested reflects the lowest level at which goodwill is monitored for internal reporting purposes. Goodwill acquired in a business combination is allocated to Groups of CGUs that are expected to benefit from the synergies of the combination.

An impairment loss is recognised if the carrying amount of an asset or its CGU exceeds its estimated recoverable amount. Impairment losses are recognised in profit or loss. Impairment losses recognised in respect of CGUs are allocated first to reduce the carrying amount of any goodwill allocated to the units, and then to reduce the carrying amounts of the other assets in the unit (Group of units) on a pro rata basis.

An impairment loss in respect of goodwill is not reversed.

Notes (continued)

1 Accounting policies (continued)

1.6 Impairment (continued)

In respect of other assets, impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

1.7 Employee benefits

Defined contribution plans

A defined contribution plan is a post-employment benefit plan under which the Company pays fixed contributions into a separate entity and will have no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution pension plans are recognised as an expense in the profit and loss account in the periods during which services are rendered by employees.

1.8 Provisions

A provision is recognised in the balance sheet when the Company has a present legal or constructive obligation as a result of a past event, that can be reliably measured and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects risks specific to the liability.

1.9 Taxation

Tax on the profit or loss for the year comprises current and deferred tax. Tax is recognised in the profit and loss account except to the extent that it relates to items recognised directly in equity or other comprehensive income, in which case it is recognised directly in equity or other comprehensive income.

Current tax is the expected tax payable or receivable on the taxable income or loss for the year, using tax rates enacted or substantively enacted at the balance sheet date, and any adjustment to tax payable in respect of previous years.

Deferred tax is provided on temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. The following temporary differences are not provided for: the initial recognition of goodwill; the initial recognition of assets or liabilities that affect neither accounting nor taxable profit other than in a business combination, and differences relating to investments in subsidiaries to the extent that they will probably not reverse in the foreseeable future. The amount of deferred tax provided is based on the expected manner of realisation or settlement of the carrying amount of assets and liabilities, using tax rates enacted or substantively enacted at the balance sheet date.

A deferred tax asset is recognised only to the extent that it is probable that future taxable profits will be available.

Notes (continued)

1.10 New accounting standards and interpretations

The International Accounting Standards Board (IASB) and IFRS Interpretations Committee (IFRIC) have issued the following standards and interpretations which are now effective:

- IFRS 9: Financial Instruments (effective for periods commencing on or after 1 January 2018)
- IFRS 15: Revenue from contracts with customers (effective for periods commencing on or after 1 January 2018)

The Directors reviewed the nature and effect that these new standards have had on the Company and do not believe that the impact is material. These standards have been adopted by the Company:

IFRS 9 Financial instruments (effective for periods beginning on or after 1 January 2018)

IFRS 9 changes the classification and measurement of financial assets, and the timing and extent of credit provisioning. The new categories per IFRS 9 have not had a material impact on the financial assets as trade receivables have continued to be carried at amortised cost.

An expected credit loss model replaces the incurred loss model. This requires an assessment of the likelihood of default and any potential loss that may arise in the event of default. The Group has found that the new standard has not caused a material change in the impairment of trade receivables or any other financial assets because the company does not currently hold any such financial instruments.

IFRS 15 Revenue from contracts with customers (effective for periods beginning on or after 1 January 2018)

IFRS 15 was published in 2014, replacing IAS 18 "Revenue". This standard establishes principles for reporting information about the nature, amount, timing and uncertainty of revenue and cash flows arising from an entity's contracts with customers. Revenue is recognised when a customer obtains control of a good or service and, thus, has the ability to direct the use and obtain the benefits from the good or service.

To determine revenue recognition for arrangements that are within the scope of IFRS 15, the standard identifies the following steps: (i) identify the contract; (ii) identify the performance obligations in the contract; (iii) determine the transaction price; (iv) allocate the transaction price to the performance obligations in the contract; (v) recognise revenue when (or as) the entity satisfies the performance obligation.

The adoption of a new standard has no impact on the Company's results in the current or prior year as the principal activity of the Company is that of a holding company and therefore, it does not generate revenue.

Notes (continued)

1 Accounting policies (continued)

1.11 Adopted IFRS not yet applied

The following Adopted IFRSs have been issued but have not been applied in these financial statements. Their adoption is not expected to have a material effect on the financial statements unless otherwise indicated:

- IFRS 16 Leases (effective for periods commencing on or after 1 January 2019).

The Directors reviewed the impact that these new standards will have on the Company and do not believe that the impact will be material. The Company intends to adopt the standards in the reporting period when they become effective. The following standards are relevant to the Company but were not yet effective. These standards have not been early adopted by the Company:

IFRS 16 - Leases (effective for periods beginning on or after 1 January 2019)

IFRS 16 was published in January 2016, replacing IAS 17 "Leases". The Company will likely adopt IFRS 16 on a 'modified' retrospective basis and the Company will recognise the cumulative effect of initially applying the new standard as an adjustment to the opening balance of retained earnings at 1 April 2019, i.e. the date of initial application, and not restate the comparative.

2 Auditor's remuneration

Auditor's remuneration:

	2019 £000	2018 £000
Audit of these financial statements	2	2

Amounts receivable by the Company's auditor and its associates in respect of services to the Company and its associates, other than the audit of the Company's financial statements, have not been disclosed as the information is required instead to be disclosed on a consolidated basis in the consolidated financial statements of the Company's ultimate parent, Alpha Financial Markets Consulting plc.

3 Staff numbers and costs

The Company had no employees during the current or prior periods.

4 Directors' remuneration

The Directors of the Company are paid out of other entities within the Group. The Directors believe that the value of their services in respect of the Company, in both the current and prior periods, were negligible and therefore, have not been disclosed.

5 Taxation

Recognised in the profit and loss account

	2019		2018	
	£000	£000	£000	£000
<i>Current tax</i>				
Current tax on income for the period		-		-
Adjustments in respect of prior periods		-		-
Total current tax		-		-
<i>Deferred tax</i>				
Adjustments in respect of prior periods		-		-
		-		-
		-		-

Notes (continued)

5 Taxation (continued)

Reconciliation of effective tax rate

	2019 £000	2018 £000
Profit for the year	17,945	(305)
Total tax expense	-	-
Profit excluding taxation	17,945	(305)
Tax using the UK corporation tax rate of 19% (2018: 19%)	3,410	(58)
Income not taxable for tax purposes	(3,470)	-
Non-deductible expenses	56	74
Deferred tax not recognised	(1)	(16)
Group relief surrendered	5	-
Total tax expense	-	-

Reductions in the UK corporation tax rate to 18% (effective 1 April 2020) were substantively enacted on 26 October 2015, and an additional reduction to 17% (effective from 1 April 2020) was substantively enacted on 6 September 2016. This will reduce the Company's future tax charge accordingly. The deferred tax assets and liabilities at 31 March 2019 have been calculated based on the rates substantively enacted at the balance sheet date.

6 Goodwill

	£000
At 31 March 2019 & 31 March 2018	784

Acquisitions in prior years

In a prior year, the trade and net assets of a subsidiary undertaking were transferred to the Company at their book value which was equal to their fair value. The cost of the Company's investment in that subsidiary undertaking reflected the underlying fair value of its net assets and goodwill at the time of the acquisition. As a result of this transfer, the value of the Company's investment in that subsidiary undertaking fell below the amount at which it was stated in the Company's accounting records. Schedule 1 to the Companies Act 2006 The Large and Medium-sized Companies and Groups (Accounts and Reports) Regulations 2008 (SI 2008 No. 410) requires that the investment be written down accordingly and that the amount be charged as a loss in the Company's profit and loss account. However, the Directors consider that, as there has been no overall loss to the Company, it would fail to give a true and fair view to charge that diminution to the Company's profit and loss account for the year and it should instead be re-allocated to goodwill and the identifiable net assets transferred, so as to recognise in the Company's individual balance sheet the effective cost to the Company of those net assets and goodwill.

The effect of this departure was to increase the goodwill in the holding Company's balance sheet by £784,000.

7 Fixed asset investments

	Shares in group undertakings £000
At 31 March 2019 & 31 March 2018	14,219

Notes (continued)

7 Fixed asset investments (continued)

Subsidiary undertakings	Country of Incorporation	Registered address	Principal activity	Class and percentage of shares held - 31 March 2019	Class and percentage of shares held - 31 March 2018
Alpha Financial Markets Consulting UK Limited	UK	1	Consultancy services	100% ordinary	100% ordinary
Alpha Technology Services Consulting Limited	UK	1	Dormant	100% ordinary	100% ordinary
Glass Client Programs Limited	UK	1	Dissolved	n/a	100% ordinary
Alpha Data Solutions Limited	UK	1	Consultancy services	100% ordinary	n/a
Alpha Financial Markets Consulting Inc.	USA	2	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting S.A.S.	France	3	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting S.A.	Luxembourg	4	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Netherlands B.V.	Netherlands	5	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Switzerland S.A.	Switzerland	6	Consultancy services	100% ordinary	100% ordinary
Track Two GmbH	Germany	7	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Singapore Pte. Limited	Singapore	8	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Hong Kong Limited	Hong Kong	9	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Australia PTY Limited	Australia	10	Consultancy services	100% ordinary	n/a

Notes:

1. 60 Gresham Street, London, EC2V 7BB
2. 575 Fifth Avenue, New York, NY 10017, USA
3. 6 Square de L'Opera Louis Jouvet, 75008 Paris, France
4. 19/21 route d'Arlon - bloc B, L-8009 Strassen, Luxembourg
5. Spaces Zuidas, Barbara Strozziilaan 101, 1083 HN, Amsterdam, The Netherlands
6. Bleicherweg 10, 8002 Zurich, Switzerland
7. Mergenthalerallee 73-75, 65760 Eschborn, Germany
8. 3A Conway Circle, Singapore 558288
9. Level 8 Admiralty Ctr Tower 11, 18 Harcourt Road Admiralty, Hong Kong
10. 383-385 George Street, Sydney NSW 2000

Notes (continued)

7 Fixed asset investments (continued)

	Share capital and reserves £'000	Profit/(loss) for the period £000
Subsidiary undertakings		
Alpha Financial Markets Consulting UK Limited	17,136	10,992
Alpha Technology Services Consulting Limited	-	-
Glass Client Programs Limited	-	-
Alpha Data Solutions Limited	-	-
Alpha Financial Markets Consulting Inc.	(1,532)	(635)
Alpha Financial Markets Consulting S.A.S.	6,461	1,982
Alpha Financial Markets Consulting S.A.	1,053	342
Alpha Financial Markets Consulting Netherlands B.V.	(327)	(75)
Alpha Financial Markets Consulting Switzerland S.A.	(9)	(60)
Track Two GmbH	(347)	(774)
Alpha Financial Markets Consulting Singapore Pte. Limited	838	542
Alpha Financial Markets Consulting Hong Kong Limited	(7)	(9)
Alpha Financial Markets Consulting Australia PTY Limited	-	-

8 Debtors

	2019 £000	2018 £000
Amounts owed by Group undertakings	16,463	7,740
	<u>16,463</u>	<u>7,740</u>

Amounts owed by Group undertakings are interest free and are repayable on demand.

9 Creditors: amounts falling due within one year

	2019 £000	2018 £000
Amounts owed to Group undertakings	21,978	5,806
Other creditors	235	1,071
	<u>22,213</u>	<u>6,877</u>

Amounts owed to Group undertakings are either interest-bearing or non interest-bearing depending on the type of the creditor relationship and are repayable on demand.

10 Creditors: amounts falling due after more than one year

	2019 £000	2018 £000
Other creditors	234	277
	<u>234</u>	<u>277</u>

Notes (continued)

11 Capital and reserves

Share Capital

	2019 £000	2018 £000
<i>Allotted, called up and fully paid</i>		
328,243 ordinary 'A' shares of 10p each	33	33
5,970,623 ordinary 'B' shares of £1 each	5,971	5,971
3,788 ordinary 'C' shares of £3.10 each	12	12
82,413 ordinary 'ANV' shares of 10p each	8	8
1,685 ordinary 'E' shares of 1p each	-	-
100,000 ordinary 'Lux' shares of 10p each	10	10
250,000 ordinary 'USA' shares of \$0.10 each	15	15
24,450 ordinary 'UK' shares of 10p each	2	2
	<u>6,051</u>	<u>6,051</u>
Shares classified in shareholders' funds	<u>6,051</u>	<u>6,051</u>
	<u>6,051</u>	<u>6,051</u>

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company.

Share premium account

The balance classified as share premium of £1,437,000 relates to the aggregate net proceeds less nominal value of shares on issue of the Company's equity share capital.

Dividends

Two interim dividend payments totalling £24,568,000 were made to the Company's sole shareholder, Alpha FMC Group Limited (2018: £nil), both to facilitate the payments of the FY 19 Group dividends made by the Company's ultimate parent, Alpha Financial Markets Consulting plc, to its shareholders. This dividend was facilitated in part by the receipt in the year of dividends totalling £18,265,000 from the Company's directly owned subsidiary, Alpha Financial Markets Consulting UK Limited. The Directors have not recommended the payment of a final dividend (2018: £16,475,000).

12 Contingencies

In the prior year, the Company was a cross-guarantor for the Beechbrook and Lloyds loans held by Alpha FMC Bidco Ltd. These loans were fully paid in the prior year. The Company did not owe any monies in respect of these loans as at 31 March 2019 or 31 March 2018.

13 Related parties

Identity of related parties with which the Company has transacted

The Company has not engaged in any transactions with any related parties other than with wholly owned subsidiaries. These transactions have not been disclosed as the Company has taken advantage of exemptions under FRS101.

14 Post balance sheet events

On 5 June 2019, the Group acquired 100% of the issued share capital of Axxsys Limited and its wholly owned subsidiaries ("Axxsys"), a consulting company incorporated in the United Kingdom.

Axxsys has provided specialised management consultancy and technology implementation services to the investment management industry since 2003. The business is focussed on investment management solutions, with expertise spanning portfolio management, performance and risk, sales and distribution, and the strategic implementation of data and technology systems, with particular expertise in the SimCorp investment management system. Axxsys has 28 employees and offices in three locations: the UK, Denmark and Canada. Axxsys reported in its most recent accounting year ended 31 December 2018 unaudited consolidated revenue of £6.2 million.

The addition of Axxsys creates additive revenue and brings complementary, technology-focussed service to Alpha's client proposition. The acquisition extends Alpha's service offering to comprehensively cover the SimCorp platform, which is an integrated front-to-back portfolio management system, offers a cross-selling opportunity and strengthens Alpha's geographic footprint, particularly in the Nordics and Canada.

The Group has acquired Axxsys for £9 million cash in base consideration, payable in instalments over the two years following acquisition, plus an earn-out which may become payable in cash after the third anniversary of completion, contingent on Axxsys meeting certain earnings growth targets.

Notes (continued)

14 Ultimate parent company and parent company of larger group

The Company is a subsidiary undertaking of Alpha Financial Markets Consulting plc, incorporated in England and Wales. The ultimate controlling party is Alpha Financial Markets Consulting plc.

Both the largest and smallest Group in which the results of the Company are consolidated is that headed by Alpha Financial Markets Consulting plc, incorporated in England and Wales. The consolidated financial statements of the Group are available to the public and may be obtained from 60 Gresham Street, London, EC2V 7BB, or the website www.investors.alphafmc.com.